

guest column

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THE TURNING POINT

Having achieved fiscal fitness and high savings, the finance minister now faces rising subsidies and a slowdown



On February 29 when Finance Minister P. Chidambaram takes guard, his batting average is going to look almost Bradmanesque. Three consecutive years of 9-plus per cent

growth, income tax growing at an unprecedented 40 per cent per annum, customs duty collection growing despite lower tariffs, agriculture credit doubling in three years as promised—it is a record any finance minister would envy. This is the same finance minister who introduced the much-brick-batted securities transaction tax, the fringe benefit tax and the cash withdrawal tax. But his critics seem to have forgiven him since the economy has completed a virtuous cycle of high growth leading to higher investment and employment. Of course he's lucky that there has been a global high tide of growth, especially among the BRIC economies. But when the wind is blowing favourably, you still need to unfurl the sails to take advantage of it. He reminded us of this adage, quoting from Vivekananda in his speech last year. His Government remains committed to inclusive growth, though the record on public investment (Bharat Nirman) for the *aam aadmi* is not as impressive.

In the daily cacophony of strident sound bites, we have quietly crossed many important milestones. India's direct tax collections—personal and corporate income tax—are now more than indirect tax collections, which include customs, excise and service tax. Not too long ago, indirect taxes constituted more than 85 per cent of the total tax collection, but now they are less than 50 per cent. Indirect taxes are inherently inefficient and regressive. They hurt the poor more than the rich. They

also tend to have a cascading effect: you pay a tax on tax. On the other hand, direct taxes, though more annoying, are transparent, efficient and progressive. The higher the share of direct taxes, the more mature the tax system. The holy grail of tax reform is to have minimal indirect taxes, few exemptions and low and stable direct tax rates.

It isn't just tax collections that reflect the pink health of the economy. Driving this growth is another milestone, national savings. These are at an all-time high of 35 per cent of GDP. High savings translate into high growth, which is what we have experienced in the past five years. The increase in sav-

ings is largely because of a massive turnaround in the public sector, especially public enterprises, which have turned profitable. High savings are a consequence of the demographic dividend, as more people are in the workforce, earning, spending, saving, investing and paying taxes. Similarly unnoticed or at least unheralded is the successful transition to a Value Added Tax (VAT) system. VAT is the new avatar of state-level sales tax, and is now operative across all states. Thanks to it, there is much less tax evasion, and the states' tax kitty has swollen by 15 per cent. True, we are still some distance away from the preferred national



SHIFTING INTO HIGH GROWTH ORBIT

Consumption and investment help ramp up growth, revenues and savings

Sr. No.	% to GDP	1970s	1980s	1990-91	1991-92 to 1996-97	1997-98 to 2002-03	2003-04 to 2006-07
1	Real GDP Growth	2.9	5.6	5.3	5.7	5.2	8.7
2	Gross Tax	8.7	9.9	10.1	9.5	8.7	10.1
3	Gross Fiscal Deficit	3.8	6.8	7.9	5.6	5.9	4.1
4	Subsidies	0.8	1.6	2.1	1.3	1.4	1.4
5	Household Savings	11.4	13.5	18.4	16.8	20.8	23.8

GDP figures are in per cent; tax, deficit, subsidies and savings are percentage of GDP. Source: RBI.

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